

Phase I
Identification

Data preparation

- Transform data to stabilize variance
- Difference data to obtain stationary series



Model selection

- Examine data, ACF and PACF to identify potential models

Phase II
Estimation
and testing



Estimation

- Estimate parameters in potential models
- Compare models using Information Criteria



Diagnostics

- Check ACF/PACF of residuals
- Do portmanteau test of residuals
- Are the residuals white noise?

No



Yes

Phase III
Application

Forecasting

- Use model to forecast

